The world in brief

Catch up quickly on the global stories that matter

Photograph: AP

Pakistan's army chief arrived in Tehran in an effort to advance peace talks between **Iran** and **America**. Field-Marshal Asim Munir is close to Iran's leaders and Donald Trump, who has called him "my favourite field-marshal". Negotiations in Pakistan ended fruitlessly last weekend. On Wednesday Mr Trump said the war was "close to over", and earlier spoke of another round of talks.

America said that **Israel** and **Lebanon** had agreed to "launch direct negotiations" following trilateral talks in Washington. Israel's ambassador to America said that Israel and Lebanon were "united in liberating Lebanon" from Hizbullah. The Iran-backed militia has made thinly-veiled threats of a violent coup against the Lebanese government should it try. Meanwhile Israel's ground assault continued, as did Hizbullah's rocket attacks on Israel.

Peter Magyar, Hungary's incoming prime minister, said he expects Viktor Orban, the outgoing one, to lift his veto of the European Union's €90bn ($106bn) loan to **Ukraine** once the Druzhba pipeline is operational. Ukraine has promised to fix the pipeline, which transports oil from Russia into Hungary through its territory, this month. Russian drones damaged it in January. Mr Orban had blamed a "Kyiv-Brussels-Berlin axis" for the attack.

Bank of America reported better than expected first-quarter profits of $8.6bn, which is a 17% increase compared with the same period last year. Market volatility caused by the Iran war lifted its equities-trading revenue by 30% to a record $2.8bn. Investment-banking fees also increased by 21%. The bank's share price rose by 3% in early trading.

ASML, a supplier of advanced chipmaking equipment, reported strong first-quarter earnings and raised its revenue forecast for the year to as much as €40bn ($47bn), which would be 22% higher than 2025. The Dutch firm said that rising demand for artificial-intelligence chips, driven by a data-centre investment boom, is outpacing supply. Shares rose by 1.2% on the news, briefly reaching a record high.

The share price of **Hermès**, a luxury-goods firm, fell by 14% after it reported disappointing first-quarter revenue growth. Since the Iran war began sales have declined by 6% in the Middle East, previously the French company's fastest-growing market, as shoppers avoid malls and airports. Sales also fell in Europe, which the firm attributed to fewer tourists visiting Paris and London.

Pope Leo arrived in **Cameroon**. He will visit parts of the Francophone country where English-speaking separatists are fighting the government. Meanwhile the Trump administration continued to clash with the pontiff. On Tuesday J.D. Vance, the vice-president, who is Catholic, told Leo to "be careful" when talking about theology, after the pope said that disciples of Christ were never on the side of those who "drop bombs".

Figure of the day: 89%, how much the share price of Ralph Lauren has risen over the past year. Read about how American luxury is booming.

Photograph: Getty Images

Looking out for more credit cockroaches

The market volatility caused by the Iran war has boosted trading income at America's biggest banks. Morgan Stanley reported a near-30% jump in profits in its first-quarter results on Wednesday; Bank of America made $30.4bn in revenue in the same period, topping analysts' estimates. On Tuesday JPMorgan Chase reported first-quarter net income of $16.5bn—a 13% year-on-year rise.

But investors will be combing the results for signs of weakness. They are worried by wobbles in the private-credit market, which lends to riskier corporations. Banks have exposure to such loans. Jamie Dimon, JPMorgan's boss, believes a "credit recession" is inevitable.

Although the benchmark S&P 500 index has recovered to its pre-war level, the share prices of many private-credit firms have not. As frothy as this earnings season has been, it may not be enough to assure investors that they are at no risk of contagion.

Photograph: Shutterstock

Little relief for Sudan’s strife

Three years into the country’s civil war, more than 33m people in Sudan require humanitarian assistance; at least 19m face acute hunger. Another 4.5m have fled abroad. The UN estimates that the conflict has set the economy back by decades: average income has fallen to a level not seen since 1992.

On Wednesday’s grim anniversary, officials, including foreign ministers from countries that have been providing aid, are meeting in Berlin to discuss how they can raise funds and expand their humanitarian efforts in Sudan. They are also trying to put pressure on the national army and its adversary, the paramilitary Rapid Support Forces, to come to a truce. The chances of that succeeding are slim. With about two months to go until the rainy season, both sides want to secure gains on the battlefield. Despite three years of bloodshed, neither yet feels it has a compelling reason to make peace.

Photograph: Reuters

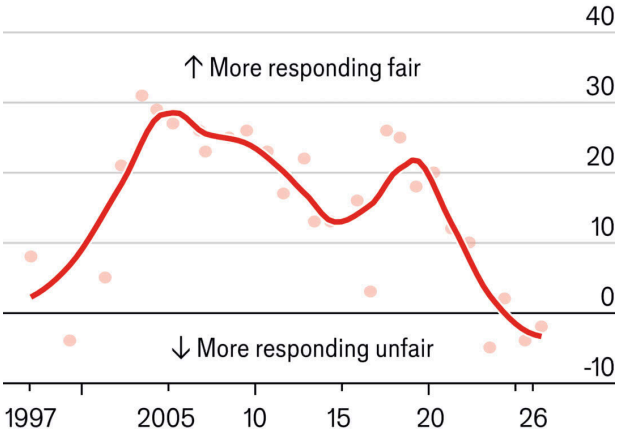
Tax day in America

April 15th is a date etched in American taxpayers' minds: by Wednesday they are due to file their annual tax return and pay Uncle Sam what they owe. But both Republicans and Democrats seem eager to make the day less painful, hatching plans to fund the government more by squeezing the richest few (the left), or foreigners (with tariffs, the right)—or by widening the already vast budget deficit.

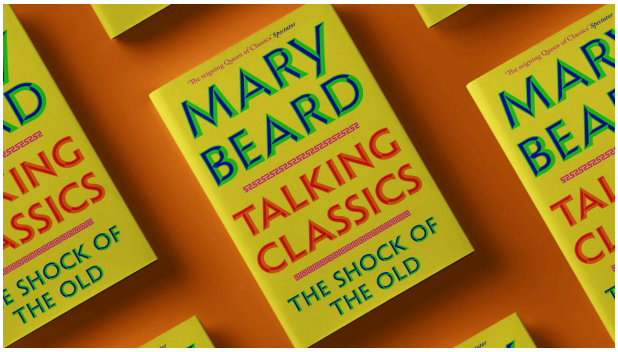
Last year's "One Big Beautiful Bill Act" extended most tax cuts from Donald Trump's first term that were set to expire and added extra goodies, including the notorious "no tax on tips". That enormously popular provision, and growing desperation for cost-of-living support, may be nudging Democrats towards their own tax-cutting ideas. Two moderate senators have released proposals to narrow America's base of income-tax payers. That reflects a recognition that distrust in government—and how it spends taxpayers' dollars—now has deep roots in American politics, from right to left.

No taxation, full stop

United States, net share responding their federal income tax is fair, percentage points



Source: Gallup

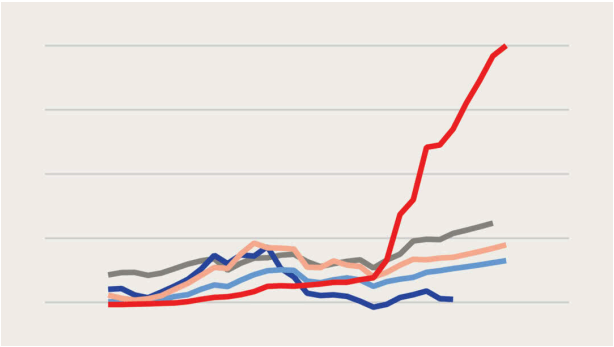


Photograph: Profile Books

Mary Beard makes her case for classics

Admirers of classics say studying the languages, literature and history of ancient Greece and Rome promotes logical thinking and reveals informative patterns. Nonsense, say its critics. The subject is steeped in whiteness, privilege and colonialism. Mary Beard, Britain's best-known classicist, sets out to defend the subject in a newly published book this week, "Talking Classics". But she shockingly discards most of the traditional arguments for it on page two.

Instead she argues that classics is a good way to understand the relationship between the past and the present: unlike many distant periods in history, it offers plenty of surviving material. It raises thorny issues, around subjects like tyranny and imperialism, that resonate today. And instead of offering simple answers, it poses more complicated questions. So too does Ms Beard. Her pithy, enjoyable book epitomises the kind of thinking that the study of classics aims to encourage.



Photograph:

Data bite: The tiny state profiting from the war

A country of fewer than 1m people on the edge of South America is one of the Iran war's winners. Since 2019, when Guyana started production in offshore oilfields, its economy has quintupled—the fastest growth globally. If war keeps prices near $100 per barrel in 2026, and the operators of the Stabroek Block field succeed in boosting output by 2.5% to 940,000 barrels a day, Guyana will generate some $33bn in oil revenue this year, three-quarters more than predicted before the war. (Most of the oil goes to Europe, which is paying premiums.) The challenge for Guyanese politicians is to spread the bonanza's benefits and avoid the "resource curse".

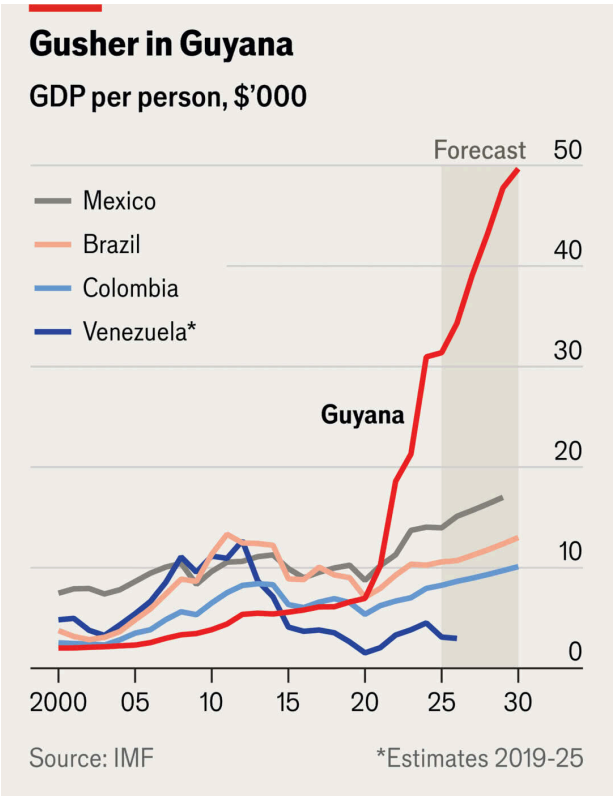

Gusher in Guyana
GDP per person, $'000
Forecast
50
40
30
20
10
0
Mexico
Brazil
Colombia
Venezuela*
Guyana
2000
05
10
15
20
25
30
Source: IMF
*Estimates 2019-25

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: Which American actress and film-maker directed the 2026 movie "The Bride!"?

Tuesday: Brussels is the capital of which region in Belgium?

The free thinking of one age is the common sense of the next.

Matthew Arnold